

ECON 2J03: Environmental Economics

Spring 2026

Instructor Information

Instructor Name: Akio Yamazaki

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Office hours: Posted on Avenue to Learn (A2L)

Course Information

Lectures: see Avenue to Learn (A2L) or MOSAIC for times and classroom information

Labs: No

Tutorials: No

Course Dates: 2026/05/04- 2026/06/19

Units: 3.0

Course Delivery Mode: Online

Course Description: Allocation of environmental services: efficiency and market failure; measuring environmental benefits; environmental regulation in Canada and elsewhere: taxes, tradable permits and other instruments; further topics.

Hours of Study: 3 hours of lecture each week.

Instructor-Specific Course Information

This course is the study of how to use the principles of economics to manage environmental resources. Environmental economics builds mostly on the foundations of microeconomic analysis. It focuses mainly on how and why people make decisions that have impacts on the environment. It is also concerned with how we can change economic institutions and policies to bring these environmental consequences more into balance with human desires and the needs of the nature.

Meeting Details

This course will be delivered virtually in an asynchronous format. The lecture content will be available to you in slides/videos/reading list through Avenue to Learn (A2L) website. Each week, two pre-recorded lectures will be provided.

Important Links

- [Mosaic](#)
- [Avenue to Learn](#)
- [Student Accessibility Services - Accommodations](#)
- [McMaster University Library](#)
- [eReserves](#)
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Course Learning Outcomes

- Explain the economic rationale for using policy to address environmental problems.
- Describe the economic intuition underlying key policy designs for addressing environmental problems.
- Explain how this intuition is impacted in markets with multiple market failures, uncertainty, etc.
- Articulate potential issues with the application of environmental policy in open economies.

Course Learning Goals

By the end of the course, students should be able to:

- Explain how economics can be used to address important environmental problems.
- Demonstrate how the economy and natural environment are related and how to reduce wastes for sustaining natural resources.
- Examine how market failure happens due to external costs and benefits when we use environmental resources in the economy.
- Provides measures for assessing environmental policies.

Materials and Fees

Title: Markets and the Environment

ISBN: 9 781 610 916 073

Authors: Nathaniel O. Keohane and Sheila M. Olmstead

Publisher: Island Press

Publication Date: 2016

Edition: 2nd edition

A .pdf version of this book can be freely accessed through

[SpringerLink](#) via the McMaster University Library

Textbook Listing: <https://textbooks.mcmaster.ca>

Course Evaluation

- One Midterm Exam: 50%
- Final Exam: 50%

Course Evaluation Details

There will be a midterm exam and a final exam. The midterm exam is tentatively scheduled to be online during the week of May 25, 2026 (May 25 ~ May 31). The final exam is comprehensive (but with more emphasis on the materials after the midterm) and will be online during the week of June 15, 2026 (June 15 ~ June 22). The midterm exam and the final exam are open-book and may consist of the following question types: short answer, long answer, true/false/uncertain explain, multiple choice, and numerical calculations. Given that all exams are open-book and the deadline will be announced in advance, late submission is not accepted. If a student requests that a part of an exam be re-graded, I reserve the right to re-grade the entire exam. All such requests must be submitted within one week of the exam being returned.

Grading Scale

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Grade	Equivalent Grade Point	Equivalent Percentages
A+	12	90-100
A	11	85-89
A-	10	80-84
B+	9	77-79
B	8	73-76
B-	7	70-72
C+	6	67-69
C	5	63-66
C-	4	60-62
D+	3	57-59
D	2	53-56
D-	1	50-52
F	0	0-49

Course Schedule

Week of	Day 1 (2 hrs)	Day 2 (2 hrs)
Topic	Chapter	Topic
		Chapter

4-May	Introduction to Environmental Economics	1, 4	Microeconomics Review	1, 4
11-May	Market Failures	5	Coasean Bargaining	
18-May	Standards	8-9	Taxes and Subsidies	8-9
25-May	Midterm (Due on May 31)		Tradable Permits	8-10
1-Jun	Offsets		Environmental Policy in an Open Economy	
8-Jun	Market Power		Uncertainty	8
15-Jun	Discounting		Final Exam (Due on June 22)	

Late Assignments

If assignments were provided, late assignments and exams are not accepted. You are given a week to complete your exams. Please plan accordingly.

Absences, Missed Work or Illness

All the lectures are pre-recorded and provided online. Both exams are also provided online, and you have a week to complete. For this reason, please email the instructor if you are ill and unable to complete the exam, please email the instructor when the exam is given. Since you have a week to complete the exam, you are not allowed to email the instructor about your illness a day or two days before the due date.

Course Modification

The instructor and university reserve the right to modify elements of the course during the term. The university may change the dates and deadlines for any or all courses in extreme circumstances. If either type of modification becomes necessary, reasonable notice and communication with the students will be given with an explanation and the opportunity to comment on changes. It is the responsibility of the student to check their McMaster email and course websites weekly during the term and to note any changes.

Generative AI

Generative AI: Use Prohibited

As both exams are given online and open-book, students are not permitted to use generative AI in this course. In alignment with [McMaster academic integrity policy](#), it “shall be an offence knowingly to ... submit academic work for assessment that was purchased or acquired from another source”. This includes work created by generative AI tools. Also state in the policy is the following, “Contract Cheating is the act of “outsourcing of student work to third parties” (Lancaster & Clarke, 2016, p. 639) with or without payment.” Using Generative AI tools is a form of contract cheating. Charges of academic dishonesty will be brought forward to the Office of Academic Integrity.

APPROVED ADVISORY STATEMENTS

Academic Integrity

You are expected to exhibit honesty and use ethical behaviour in all aspects of the learning process. Academic credentials you earn are rooted in principles of honesty and academic integrity. **It is your responsibility to understand what constitutes academic dishonesty.**

Academic dishonesty is to knowingly act or fail to act in a way that results or could result in unearned academic credit or advantage. This behaviour can result in serious consequences, e.g. the grade of zero on an assignment, loss of credit with a notation on the transcript (notation reads: “Grade of F assigned for academic dishonesty”), and/or suspension or expulsion from the university. For information on the various types of academic dishonesty please refer to the [Academic Integrity Policy](https://secretariat.mcmaster.ca/university-policies-proceduresguidelines/), located at <https://secretariat.mcmaster.ca/university-policies-proceduresguidelines/>

The following illustrates only three forms of academic dishonesty:

- plagiarism, e.g. the submission of work that is not one’s own or for which other credit has been obtained.
- improper collaboration in group work.
- copying or using unauthorized aids in tests and examinations.

Authenticity / Plagiarism

Some courses may use a web-based service (Turnitin.com) to reveal authenticity and ownership of student submitted work. For courses using such software, students will be expected to submit their work electronically either directly to Turnitin.com or via an online learning platform (e.g. Avenue to Learn, etc.) using plagiarism detection (a service supported by Turnitin.com) so it can be checked for academic dishonesty.

Students who do not wish their work to be submitted through the plagiarism detection software must inform the Instructor before the assignment is due. No penalty will be assigned to a student who does not submit work to the plagiarism detection software. **All submitted work is subject to normal verification that standards of academic integrity have been upheld** (e.g., on-line search, other software, etc.). For more details about McMaster’s use of Turnitin.com please go to www.mcmaster.ca/academicintegrity.

Email Communication

Effective September 1, 2010, it is the policy of the Faculty of Social Sciences that all e-mail communication sent from students to instructors (including Tasks), and from students to staff, must originate from the student's own McMaster University e-mail account. This policy protects confidentiality and confirms the identity of the student. It is the student's responsibility to ensure that communication is sent to the university from a McMaster account. If an instructor becomes aware that a communication has come from an alternate address, the instructor may not reply at his/her/their discretion.

Courses with an On-line Element

Some courses may use on-line elements (e.g. e-mail, Avenue to Learn, LearnLink, web pages, capa, Moodle, ThinkingCap, etc.). Students should be aware that, when they access the electronic components of a course using these elements, private information such as first and last names, usernames for the McMaster e-mail accounts, and program affiliation may become apparent to all other students in the same course. The available information is dependent on the technology used. Continuation in a course that uses on-line elements will be deemed consent to this disclosure. If you have any questions or concerns about such disclosure, please discuss this with the course instructor.

Online Proctoring

Some courses may use online proctoring software for tests and exams. This software may require students to turn on their video camera, present identification, monitor and record their computer activities, and/or lock/restrict their browser or other applications/software during tests or exams. This software may be required to be installed before the test/exam begins.

Conduct Expectations

As a McMaster student, you have the right to experience, and the responsibility to demonstrate, respectful and dignified interactions within all of our living, learning and working communities. These expectations are described in the [Code of Student Rights & Responsibilities](#) (the "Code"). All students share the responsibility of maintaining a positive environment for the academic and personal growth of all McMaster community members, **whether in person or online.**

It is essential that students be mindful of their interactions online, as the Code remains in effect in virtual learning environments. The Code applies to any interactions that adversely affect, disrupt, or interfere with reasonable participation in University activities. Student disruptions or behaviours that interfere with university functions on online platforms (e.g. use of Avenue 2 Learn, WebEx or Zoom for delivery), will be taken very seriously and will be investigated. Outcomes may include restriction or removal of the involved students' access to these platforms.

Academic Accommodation of Students with Disabilities

Students with disabilities who require academic accommodation must contact [Student Accessibility Services](#) (SAS) at 905-525-9140 ext. 28 652 or sas@mcmaster.ca to make arrangements with a Program Coordinator. For further information, consult McMaster University's [Academic Accommodation of Students with Disabilities](#) policy.

Requests for Relief for Missed Academic Term Work

In the event of an absence for medical or other reasons, students should review and follow the [Policy on Requests for Relief for Missed Academic Term Work](#).

Academic Accommodation for Religious, Indigenous, or Spiritual Observances (RISO)

Students requiring academic accommodation based on religious, indigenous or spiritual observances should follow the procedures set out in the [RISO](#) policy. Students should submit their request to their Faculty Office ***normally within 10 working days*** of the beginning of term in which they anticipate a need for accommodation or to the Registrar's Office prior to their examinations. Students should also contact their instructors as soon as possible to make alternative arrangements for classes, assignments, and tests.

Copyright and Recording

Students are advised that lectures, demonstrations, performances, and any other course material provided by an instructor include copyright protected works. The Copyright Act and copyright law protect every original literary, dramatic, musical and artistic work, **including lectures** by University instructors.

The recording of lectures, tutorials, or other methods of instruction may occur during a course. Recording may be done by either the instructor for the purpose of authorized distribution, or by a student for the purpose of personal study. Students should be aware that their voice and/or image may be recorded by others during the class. Please speak with the instructor if this is a concern for you.

Extreme Circumstances

The University reserves the right to change the dates and deadlines for any or all courses in extreme circumstances (e.g., severe weather, labour disruptions, etc.). Changes will be communicated through regular McMaster communication channels, such as McMaster Daily News, Avenue to Learn and/or McMaster email.